

BEE 4750 Lab 2: Monte Carlo

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Due Date

Thursday, 10/02/25, 9:00pm

Setup

The following code should go at the top of most Julia scripts; it will load the local package environment and install any needed packages. You will see this often and shouldn't need to touch it.

```
import Pkg
Pkg.activate(".")
Pkg.instantiate()
```

```
Activating project at `c:\Users\emmaj\OneDrive\Desktop\4750HW\lab-2-ejadee`
  Installed Xorg_libXfixes_jll          v6.0.2+0
  Installed Pango_jll                  v1.56.4+0
  Installed Libuuid_jll                v2.41.2+0
  Installed Libmount_jll              v2.41.2+0
  Installed Libtiff_jll                v4.7.2+0
  Installed Xorg_xcb_util_cursor_jll  v0.1.6+0
  Installed FillArrays                 v1.14.0
  Installed Plots                      v1.41.1
  Installed ColorSchemes               v3.31.0
Precompiling project...
 8916.9 ms  Libmount_jll
 8677.9 ms  Rmath_jll
 5625.9 ms  OpenSpecFun_jll
```

4868.3 ms	QuadGK
9908.4 ms	FillArrays
1670.3 ms	Libuuid_jll
1626.7 ms	Xorg_libXfixes_jll
1743.3 ms	Xorg_xcb_util_cursor_jll
2665.0 ms	Libtiff_jll
1389.7 ms	FillArrays → FillArraysStatisticsExt
2181.6 ms	Rmath
1836.3 ms	FillArrays → FillArraysPDMatsExt
2588.7 ms	FillArrays → FillArraysSparseArraysExt
2213.6 ms	Fontconfig_jll
5754.4 ms	SpecialFunctions
9548.5 ms	ColorSchemes
2301.7 ms	ColorVectorSpace → SpecialFunctionsExt
4265.2 ms	Cairo_jll
3069.7 ms	HypergeometricFunctions
5370.1 ms	Qt6Base_jll
3154.8 ms	HarfBuzz_jll
5085.3 ms	StatsFuns
3358.6 ms	libass_jll
3346.8 ms	Pango_jll
8619.6 ms	Qt6ShaderTools_jll
5232.7 ms	FFMPEG_jll
4064.5 ms	FFMPEG
4591.6 ms	GR_jll
7532.8 ms	Qt6Declarative_jll
17132.0 ms	Distributions
26137.7 ms	PlotUtils
3906.1 ms	Distributions → DistributionsTestExt
9702.7 ms	GR
5442.7 ms	PlotThemes
7833.2 ms	RecipesPipeline
108426.1 ms	Plots

36 dependencies successfully precompiled in 198 seconds. 155 already precompiled.

```
using Random # random number generation
using Distributions # probability distributions and interface
using Statistics # basic statistical functions, including mean
using Plots # plotting
```

Overview

In this lab, we will conduct a Monte Carlo experiment and explore how sensitive Monte Carlo estimates are to the underlying probability distribution(s).

You should always start any computing with random numbers by setting a “seed,” which controls the sequence of numbers which are generated (since these are not *really* random, just “pseudorandom”). In Julia, we do this with the `Random.seed!()` function.

```
Random.seed!(1)
```

`TaskLocalRNG()`

It doesn't matter what seed you set, though different seeds might result in slightly different values. But setting a seed means every time your notebook is run, the answer will be the same.

Seeds and Reproducing Solutions

If you don't re-run your code in the same order or if you re-run the same cell repeatedly, you will not get the same solution. If you're working on a specific problem, you might want to re-use `Random.seed()` near any block of code you want to re-evaluate repeatedly.

Probability Distributions and Julia

Julia provides a common interface for probability distributions with the [Distributions.jl package](#). The basic workflow for sampling from a distribution is:

1. Set up the distribution. The specific syntax depends on the distribution and what parameters are required, but the general call is the similar. For a normal distribution or a uniform distribution, the syntax is

```
# you don't have to name this "normal_distribution"
#  is the mean and  is the standard deviation
normal_distribution = Normal( , )
# a is the upper bound and b is the lower bound; these can be set to +Inf or -Inf for an
uniform_distribution = Uniform(a, b)
```

There are lots of both [univariate](#) and [multivariate](#) distributions, as well as the ability to create your own, but we won't do anything too exotic here.

2. Draw samples. This uses the `rand()` command (which, when used without a distribution, just samples uniformly from the interval $[0, 1]$.) For example, to sample from our normal distribution above:

```
# draw n samples
rand(normal_distribution, n)
```

Putting this together, let's say that we wanted to simulate 100 six-sided dice rolls. We could use a [Discrete Uniform distribution](#).

```
dice_dist = DiscreteUniform(1, 6) # can generate any integer between 1 and 6
dice_rolls = rand(dice_dist, 100) # simulate rolls
```

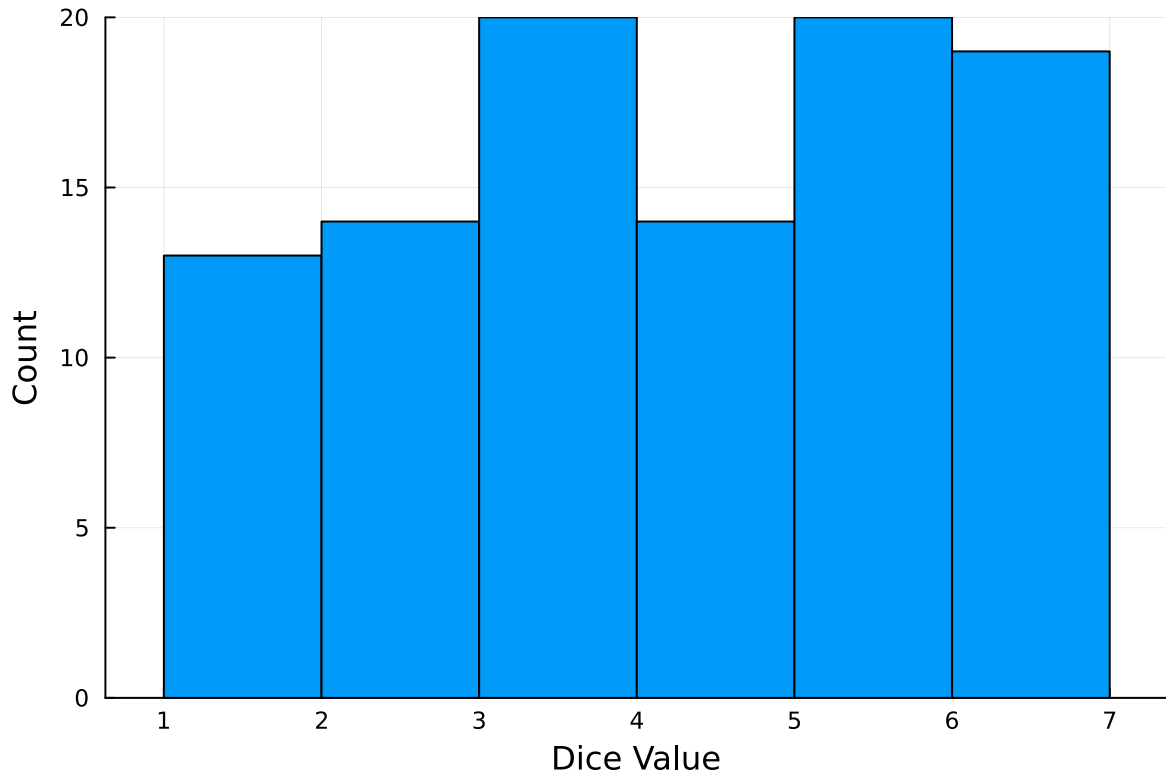
100-element Vector{Int64}:

```
1
3
5
4
6
2
5
5
5
2

3
6
5
5
6
3
6
6
6
```

And then we can plot a histogram of these rolls:

```
histogram(dice_rolls, legend=:false, bins=6)
ylabel!("Count")
xlabel!("Dice Value")
```



Instructions

Remember to:

- Evaluate all of your code cells, in order (using a `Run All` command). This will make sure all output is visible and that the code cells were evaluated in the correct order.
- Tag each of the problems when you submit to Gradescope; a 10% penalty will be deducted if this is not done.

Problem

A common engineering problem is to quantify flood risk, which is typically computed by propagating a flood hazard distribution through a *depth-damage function* relating flood depths to economic damages. A reasonable depth-damage function for a house without a basement is a bounded logistic function,

$$d(h) = \mathbb{1}_{h>0} \frac{L}{1 + \exp(-k(h - h_0))},$$

where d is the damage as a percent of total structure value, h is the water depth (relative to the house's ground floor elevation) in m, $\mathbb{1}_{x>0}$ is the indicator function, L is the maximum loss in USD, k is the slope of the depth-damage relationship, and h_0 is the inflection point. We'll assume $L = \$200,000$, $k = 0.8$, and $h_0 = 3$.

For this problem, suppose that we have two different probability distributions characterizing annual maxima flood depths:

1. $h \sim \text{LogNormal}(1.2, 0.3)$;
2. $h \sim \text{GeneralizedExtremeValue}(3, 0.9, -0.15)$.

Plot histograms of samples from these distributions and conduct a Monte Carlo experiment for annual maximum flood damages using each. Answer the following questions:

- What are the Monte Carlo estimates of the expected value and the 99% quantile for the annual maximum damage the structure would suffer for each of these flood hazard distributions?
- How did you decide on your sample size?
- Why do you think the estimates differed or did not differ (you can also plot the depth-damage function to compare with the samples)?
- How might you decide (based on getting additional information, if needed) which distribution is “better”?

```
#Constants
L = 200000
k = 0.8
ho = 3

#determine indicator function
function give_x(h)
    if h > 0
        return 1
    else
        return 0
    end
end

#define depth equation
function depth_damage(h, x, L, k, ho)
    return x*L*(1/(1 + exp(-k * (h - ho))))
end

#define distribution
function histy(L, k, ho, samp)
```

```

h1 = rand(LogNormal(1.2, 0.3), samp)
h2 = rand(GeneralizedExtremeValue(3, 0.9, -0.15), samp)

samps1 = zeros(samp)
for i = 1:samp
    samps1[i] = depth_damage(h1[i], give_x(h1[i]), L, k, ho)
end

samps2 = zeros(samp)
for i = 1:samp
    samps2[i] = depth_damage(h2[i], give_x(h2[i]), L, k, ho)
end

p1 = histogram(samps1, label = false, title = "Annual Maxima Flood Lognormal Distribution")
p2 = histogram(samps2, label = false, title = "Annual Maxima Flood Generalized Extreme Value Distribution")
display(p1)
display(p2)

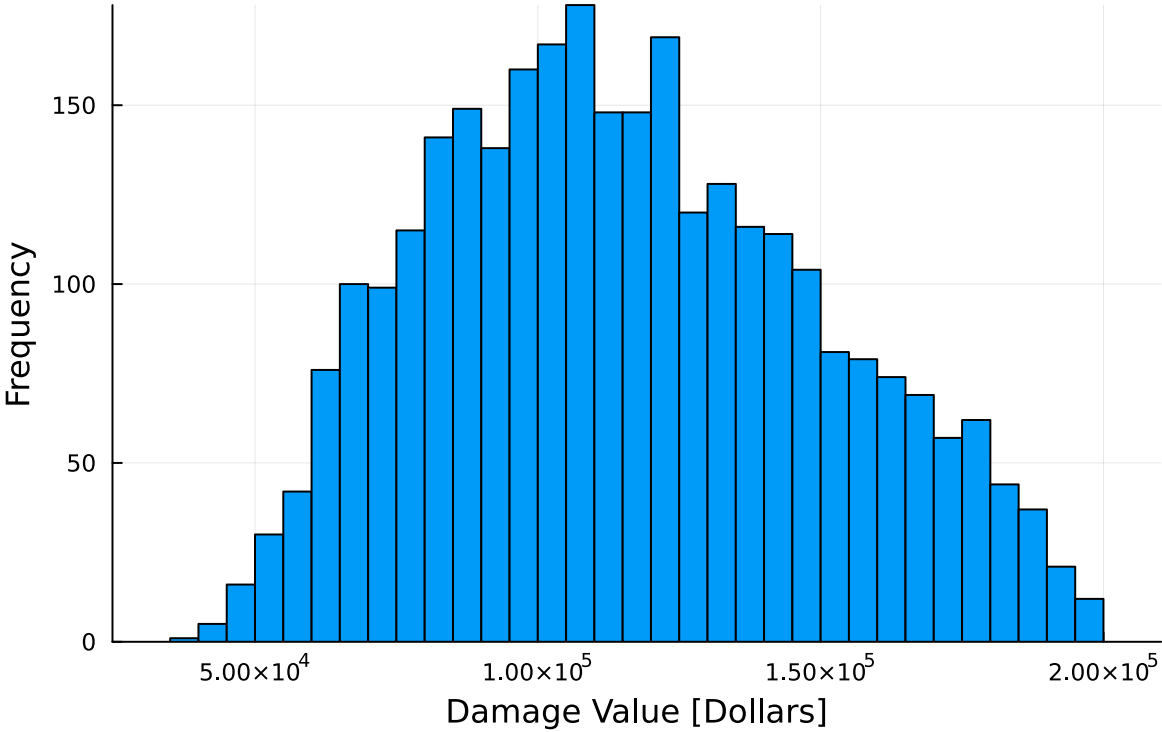
println("The mean of the lognormal distribution damage values are \$", round(Int, mean(samps1)))
println("The mean of the generalized extreme value distribution damage values are \$", round(Int, mean(samps2)))

println("The 99% quantile for maximum damage for the lognormal distribution is \$", round(Int, quantile(samps1, 0.99)))
println("The 99% quantile for maximum damage for the generalized extreme value distribution is \$", round(Int, quantile(samps2, 0.99)))
end

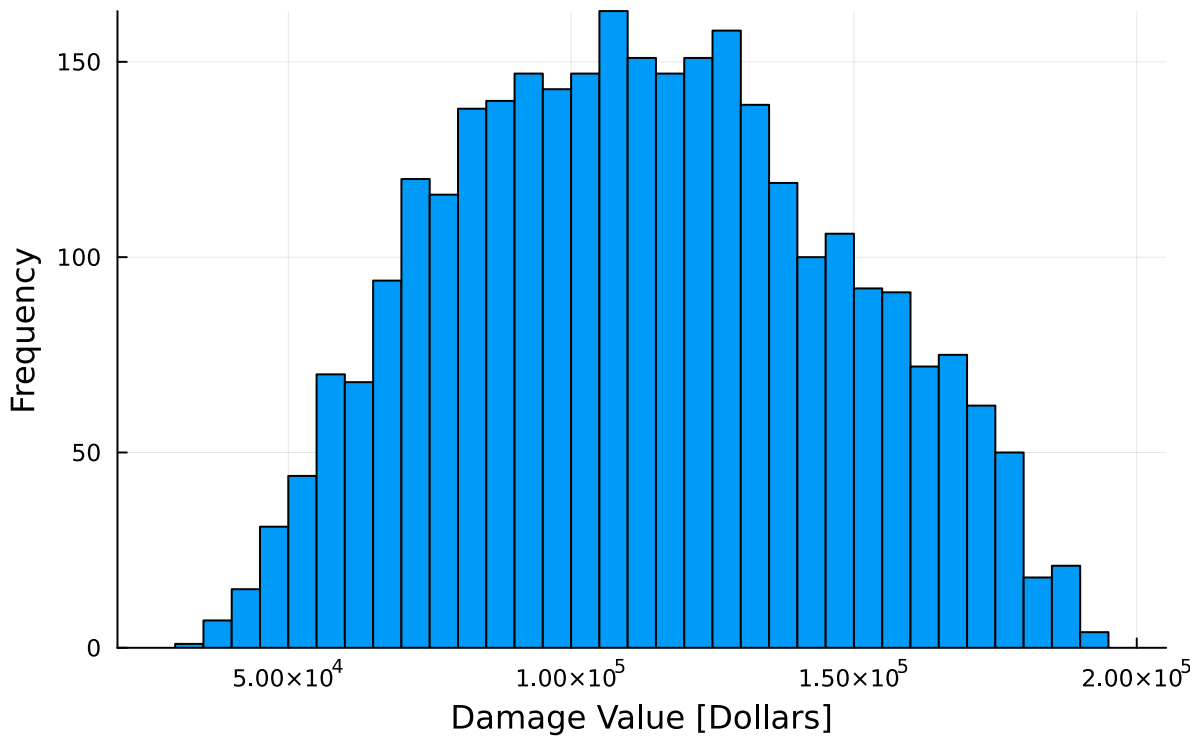
samp = 3000 #Begins convergence at around 3000
histy(L, k, ho, samp)

```

Annual Maxima Flood Lognormal Distribution



Annual Maxima Flood Generalized Extreme Value Distribu



The mean of the lognormal distribution damage values are \$115629

The mean of the generalized extreme value distribution damage values are \$112832

The 99% quantile for maximum damage for the lognormal distribution is \$190694

The 99% quantile for maximum damage for the generalized extreme value distribution is \$183779

Write Up

In terms of choice of mean and SD, for the lognormal one I chose 1.2 as the mean because that is the low range of a common moderate flood range and 0.3 to represent medium variability in my data (to account for the majority of the floods being of similar intensity with the exception of some extreme floods that may happen). For my GEV one, I chose 3 as my mean because that is the middle range of a common moderate flood (and we want to center the data around the middle) and 0.9 as my SD due to accounting for small variations on having smaller and larger floods (in which these categories differ from the moderate floods by around 1 meter).

1. The mean and max value of the lognormal distribution was ~\$11500 and ~\$190000, respectively. For the generalized extreme value distribution, it was ~\$11300 and ~\$184000, respectively.

2. I chose a sample size of 3000 after I tested a large sample to size to see where the values would converge to, and the lowest sample size where this convergence happened was at around 3000. Using the standard error equation ($1/\text{SQRT}(n)$), I found that for my sample size the error was 1.83%
3. From my results, I found that the Lognormal distribution had overall higher values for damage from the flood when compared to the generalized extreme value distribution. This difference may be due to the different behaviors of the distributions themselves. The GEV distribution takes into account any extreme values that may happen, thus leading to its shape being more flexible in nature, while the lognormal distribution normalizing the data may lead outliers of extreme values to affect the curve in a negative manner.
4. When it comes to choosing which distribution to use, it would depend on what type of flood risks measurements I am making. If I am accounting for flood that occur in similar intensity and have a low history of data, I would pick the lognormal distribution. If I am accounting for a longer history of more randomized flood intensities (with many extreme values), I would pick the GEV distribution.

References

Put any consulted sources here, including classmates you worked with/who helped you.

Pranati and Adrian helped me with my code.